



“IT IS NOT LIKE THERE IS JUST ONE SILICON VALLEY IN INDIA”

With increasing access to angel networks and incubators across India, Venture Catalysts Co-founder Apoorva Ranjan Sharma says the country would have nearly a million start-ups and more than 500 unicorns by 2030

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START-UPS HAVE the potential to contribute as much as 15 per cent to the India's GDP by 2030, according to Apoorva Ranjan Sharma, Co-founder of Venture Catalysts, which is one of the largest angel networks in the country. Sharma says that states are excited about start-ups because they see the ecosystem as an opportunity to create another layer of manufacturing and services over the already existing ones. Edited excerpts:



How has the start-up ecosystem evolved in India in the past few years? Are start-ups coming up across the country or are they concentrated in just a few cities and states?

India has around 130,000 start-ups as on date and the rate at which they are growing, the number will be over 1 million by 2030. According to the government and DPIIT (Department for Promotion of Industry and Internal Trade) data, India has around 800 districts and there are start-ups in nearly 670 of them. So, it is clear that the start-up ecosystem of our country is not concentrated in some regions, even though the bulk of the ventures are in cities like Bengaluru, Mumbai and Delhi-NCR. It is not like there is just one Silicon Valley in India. There would be more than 25 cities and towns where there would be a significant number of start-ups.

Every state is excited

about start-ups because they see the start-up ecosystem as an opportunity to create another layer of manufacturing and services over the already existing ones. More importantly, the contribution of start-ups to the Indian economy in terms of jobs, efficiencies, digitisation, ease of doing business and the overall GDP as well, has gone up significantly in the past few years. It is estimated that start-ups contribute around 4 per cent to India's GDP but it is expected to go up to 15 per cent by 2030. That is why start-ups as a segment, and also as an asset class, have become very important. And it is all interlinked. Globally, there are more than 1,700 unicorns and India has around 110. But

more important than that, there are hundreds of start-ups that are waiting to become unicorns.



What are the key reasons for this trend of start-ups coming from across the country?

In today's era, everyone is aware of the success stories as there is a lot of news around start-ups that is disseminated through various platforms. So, it has clearly become an established and acceptable business and asset class. Another trend that was visible earlier was that founders from Tier II/III locations did not reach out to angels or VCs or PE firms, who were mostly based in the metros. But now the bandwidth is also available in terms of data connectivity and infrastructure. It is also cost-effective in terms of overhead costs. The government's Startup India initiative also had a huge impact on the start-up ecosystem in the far-flung corners of the country. We have also put in place dedicated chapters aimed at smaller cities to attract both founders and angel investors. Once a city has a lot of angel investors, the start-up ecosystem in the city automatically develops as many of these investors want to support local founders from their cities. A lot of smaller towns also have good educational institutes that serve as great incubation centres.